



Notes

Jul 7, 2026

Agent Ecosystem Working Group 2: Agent Adoption and Operations - MACH Alliance

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Attachments  Agent Ecosystem Working Group 2: Agent Adoption and Operations...

Meeting records  Transcript

Summary

The group prioritized consequential return on investment and structured frameworks for transitioning experimental AI to enterprise adoption.

Prioritizing Strategic ROI Focus

The group reviewed poll results and decided to prioritize Consequential return on

investment over Agent Wrangling. This shifts the focus toward existential business conversations rather than purely technical implementations.

Defining AI Business Value

Discussions highlighted the need to move beyond hard financial return on investment toward broader business value, especially when engaging diverse C-suite stakeholders. Framing AI as a business multiplier rather than a cost center aids better organizational alignment.

Scaling Toward Enterprise Adoption

The group outlined a roadmap focusing on a maturity model and foundational infrastructure to transition from 90 percent failing pilots to governed enterprise workflows. This shift emphasizes managed systems over isolated point solutions.

Decisions

Aligned

- **Consequential ROI designated as primary focus** The group aligned on prioritizing the Consequential ROI and Enterprise Agentic Adoption framework as the primary focus area, reclassifying governance and agent wrangling as secondary priorities.
- **ROI measurement strategy anchored in business value** The team adopted a strategy to frame ROI through the lens of holistic business value—incorporating narrative, productivity, and financial outcomes—rather than focusing strictly on headcount reduction or direct financial cost-cutting.

We've **updated the Decisions section** using your feedback.

Let us know what you think: [Helpful](#) or [Not Helpful](#)

Next steps

- ☐ [Tim Fernihough] Share Quality Concerns: Provide further information regarding quality concerns discussed in this meeting. Share these details with Ryan during the next session.
- ☐ [The group] Integrate ROI components: Incorporate financial return metrics into the enterprise agentic adoption framework. Include executive perspectives from the CEO, COO, CTO, and CFO.
- ☐ [The group] Develop reference architecture: Document the future state of the enterprise AI landscape within the framework. Outline the integration of foundational elements and point solutions.
- ☐ [The group] Continue Slack discussion: Coordinate remaining strategy planning and questions via the team messaging channel. Resolve outstanding structural points through asynchronous collaboration.

Details

- **Personal AI Evaluation and Vercel EVE Framework:** Ryan Lunka shared an update on building a personal evaluation setup to form opinions on model references, noting that they do not want to over-invest in nuances but require a common structure for assessment. Ryan Lunka also discussed attending training with Vercel and observing the release of their new agent-building abstraction, EVE ([00:00:00](#)). Ryan Lunka noted that while EVE is currently in beta and functionally similar to LangGraph, they found it easier to understand ([00:01:25](#)).
- **Working Group Progress and GitHub:** Rebecca Veldon noted that Everett is on leave this week, resulting in a smaller group. The team discussed the progress of the "other" working group, which is producing articles and maintaining a GitHub repository ([00:02:24](#)). Ryan Lunka mentioned that they are participating in that group and found the development of a five-category agent framework to be a helpful construct for avoiding binary conversations about whether a solution qualifies as an agent ([00:03:26](#)).

- Voting on Focus Areas:** Rebecca Veldon reviewed the poll results from June 25th regarding whether to focus on "Consequential ROI" or "Agent Wrangling". Everett, Jess, and Ryan Lunka all voted for Consequential ROI. Ryan Lunka clarified that they are working with Tim Fernihough on governance, but the group agreed that ROI is the more existential conversation and will be prioritized ([00:04:43](#)).
- Challenges with AI Pilot Failures:** Jessica Dvoretz highlighted a trend from the last six weeks where initial investments in AI pilots are failing to deliver expected results, noting that even companies like Walmart have pulled back. The primary challenge identified is determining the correct strategy to invest in AI to drive ROI, focusing on accuracy, consistency, and financial effectiveness ([00:06:13](#)).
- Stakeholder Perspectives on ROI:** Dylan Valade and Jessica Dvoretz discussed whether the conversation should be framed for a software vendor or an end-user consumer, concluding it should address both ([00:07:31](#)). Jessica Dvoretz emphasized the need to look at the perspective of the C-suite—specifically the CEO, COO, CTO, and CFO—as they come from different levels of AI understanding and have varying reactions to financial scrutiny ([00:08:39](#)).
- Framing Financial ROI vs. Business Value:** Ryan Lunka questioned the necessity of "hard" financial ROI versus observable business outcomes, arguing that working backward to financial math often relies on too many assumptions ([00:12:17](#)). Sezin Cagil added that AI productivity is difficult to measure without equating it to headcount reduction, which is a negative outcome ([00:14:29](#)). The group discussed reframing the conversation from "hard financial ROI" to "business value" or "business cases" to better reflect the impact on the organization ([00:13:31](#)).
- Use-Case Driven Investment:** Dylan Valade described an approach of use-case driven investment, where the team commits to technologies and workflows in roughly three-month increments. This allows the leadership team to align on specific outcomes, such as securing annual recurring revenue (ARR) or preventing churn for companies planning an exit, rather than simply cutting costs ([00:15:52](#)).
- IT Cost Centers vs. Business Multipliers:** Dylan Valade argued that treating IT as a cost center for cutting expenses is less effective than framing AI as a business value multiplier. Focusing on efficiency without cutting headcount

avoids "brain drain" and encourages better decision-making by enabling employees to focus on higher-level tasks, which brings the CFO into the conversation as an ally ([00:18:06](#)).

- **Measuring Developer Productivity:** Tim Fernihough introduced himself as an IT leader, noting that they currently manage 30 developers on a cloud API plan costing \$10,000 per month ([00:19:03](#)) ([00:21:10](#)). They expressed difficulty in measuring "1+1=3" productivity increases and noted that they lost granular analytics when scaling up, making it harder to justify the investment ([00:19:59](#)). Tim emphasized the need to measure productivity beyond simple lines of code or dollar amounts ([00:21:56](#)).
- **Narrative vs. Financial Proof Points:** Ryan Lunka and Tim Fernihough debated the balance between narrative benefits and hard numbers. While narrative evidence, such as higher quality output or the ability to take on new innovation projects, can satisfy many stakeholders, there is eventual pressure to provide measurable financial figures to justify ongoing spend and avoid budget cuts ([00:24:17](#)) ([00:29:53](#)).
- **Scaling ROI Metrics Beyond MarTech:** Jessica Dvoretz emphasized that for the MOCK Alliance, selling to operating companies means navigating the reality that tech is often a cost center ([00:26:13](#)). They suggested that AI offers a significant opportunity to prove returns outside of MarTech, similar to how customer acquisition or conversion metrics are tracked in marketing ([00:27:23](#)).
- **Justifying AI Spend in Difficult Climates:** Sezin Cagil and Tim Fernihough reflected on the necessity of justifying spend, even when benefits are intangible, to ensure business sustainability ([00:28:35](#)). Tim noted that even if they are not currently being pressed for numbers by the board, they must be prepared to justify costs during difficult economic climates or budget reviews ([00:29:53](#)).
- **A Maturity Model for Return on Investment:** Ryan Lunka proposed a maturity model for ROI, ranging from narrative "trust me" stories to measurable outcomes (like NPS or customer satisfaction), and finally to financial outcomes on the P&L ([00:33:14](#)). This spectrum could help guide organizations through the complexity of defining value ([00:34:27](#)).
- **Avoiding Technological Wormholes:** Dylan Valade warned against getting trapped in a "wormhole of cool technology" and urged the group to advocate

for good business outcomes rather than just AI features. They stressed that without healthy revenue and stable earnings, the technology itself does not matter ([00:35:34](#)).

- **Structural Requirements for Enterprise Workflows:** Dylan Valade and the group discussed moving from individual productivity (e.g., cloud chat) to organizational workflows. This requires enterprise-level structures, such as data access layering and managed workflows, which are difficult to implement but essential for scaling beyond individual efforts ([00:36:46](#)).
- **Fundamentals vs. Point Solutions:** Jessica Dvoretz and Dylan Valade explored the risk of "siloes" point solutions, where different departments buy their own agents without central oversight ([00:43:08](#)). They emphasized the need to invest in foundational infrastructure ("infra") that makes point solutions faster, cheaper, and monitorable, rather than just buying point solutions in isolation ([00:41:52](#)).
- **Reference Architectures and Infrastructure:** Dylan Valade proposed creating a reference architecture that incorporates the AI landscape, including foundational elements like data platforms such as Snowflake or Databricks ([00:45:17](#)). This approach allows for sequencing investments, ensuring foundational work is complete before scaling, and insulates the business from transactional system risks ([00:46:22](#)).
- **Transitioning from Experimental to Enterprise AI:** Jessica Dvoretz and Dylan Valade discussed the shift from "experimental" AI (pilots) to "enterprise" AI, noting that 70-90% of pilots currently fail ([00:50:32](#)). The consensus is that the team must move beyond individual experimentation to managed, governed organizational processes ([00:53:00](#)). This involves treating these tools as software applications that are owned by the organization, rather than personal productivity aids ([00:48:34](#)) ([00:54:04](#)).
- **Consensus on Roadmap Focus:** The group reached a consensus to focus on the "Enterprise Agentic Adoption Framework," emphasizing a roadmap that transitions from experimentation to controlled, ROI-backed production ([00:56:19](#)). They plan to incorporate the perspectives of the CEO, COO, CTO, and CFO into this framework to help organizations justify AI investments ([00:57:33](#)).

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Transcript

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00:00:00

Ryan Lunka: last week which was really cool. Um so doing my head around that. Um, actually currently working on a to-do that I had for a long time, which is to build a little bit of a personal eval setup so I can start to have a faster opinion on model references, which I don't I don't overinvest in because I think people spend more time on nuances of different model versions than they should, but still helpful to have like a common structure to look at it with. So, working on that a little bit all over me.

Dylan Valade: Good. I guess any highlights from the element

Ryan Lunka: Uh I so I had like arms length understanding of what Verscell had to offer before. We we've been partners with them for a while but primarily in the context of hosting composable systems. Um I knew they had an SDK for AI applications and some other tooling around them. Um, and so this is I actually did a training um like a whole day of training with their team um on Monday and then went to the basically the first half so I could see the keynotes at the conference where they released like a pretty good abstraction on top of all their primitives to build agents and I was pretty impressed with it.

00:01:25

Ryan Lunka: Um, I think it's functionally very similar to what Langraph does,

Dylan Valade: Nice.

Ryan Lunka: which is what I had some previous context with, but uh, I think it is a much easier thing to get your head around. And obscure,

Dylan Valade: Is this the AI SDK?

Ryan Lunka: there's no, it's actually it's called Eve. Um,

Dylan Valade: Enu.

Ryan Lunka: it's in it's in beta, so it's still a little bit goofy to find it in their documentation, but the AI SDK is one of the primitives that goes up underneath it. But that EVE framework I was pretty impressed with.

Dylan Valade: All right. Thanks for the update.

Rebecca Veldon: All

Ryan Lunka: I also threw a pretty good event, I would say. So, I'd recommend going to one if you have an

Rebecca Veldon: right.

Dylan Valade: All right. Thank you,

Ryan Lunka: opportunity.

Dylan Valade: Rebecca. How we doing?

Rebecca Veldon: Yes, doing well. Ever is on leave this week, so he won't be joining us. So, we are quite a small group this week.

00:02:24

Rebecca Veldon: Um, I think people's annual leave and the summer holidays are all overlapping with each other.

Dylan Valade: All right. When the cat's away, let's have some

Rebecca Veldon: Exactly.

Dylan Valade: fun.

Rebecca Veldon: So, uh, did you have anything specific you wanted to cover this week,

Dylan Valade: Uh, no, I just wanted to kind of catch up.

Rebecca Veldon: Dylan?

Dylan Valade: So, just let you guys know, I guess in the spirit of AI taking over everything, this has been the busiest two months of the last decade of my career. So, I have not uh come up for error until now, which is great. So, um I guess I'd like just a check in where are we at? Uh, and also if there's any update on what the other group's doing, uh, the other working group, if anybody knows,

Rebecca Veldon: Yep. Um,

Dylan Valade: um,

Rebecca Veldon: so the other group is making a lot more articles at the moment. We've got some bits out on the GitHub. Would people like to see their GitHub?

Dylan Valade: yes, please.

00:03:26

Rebecca Veldon: I can send a link and people can be nosy.

Ryan Lunka: Yeah, I'm in the other working group as well, but um dropped the ball on what I was going to participate in.

Rebecca Veldon: Yeah.

Ryan Lunka: I'm putting a little bit more priority on this one um because it's a little better fit for my skill set anyway. But the uh that other group is iterating on that sort of five category framework for what is an agent and I have found that to be very helpful so far and just

Rebecca Veldon: Thank you.

Ryan Lunka: kind of following along with how they're expanding on that idea has been a really good construct.

Dylan Valade: That is good to know.

Ryan Lunka: I've used that in talking about, you know, Aentic AI with clients and with just people generally because it it gets you out of that overly complicated binary conversation about, well, is this actually an agent or is it not an agent?

Rebecca Veldon: Yeah, I do know that for us, we've just had that poll come up on the 25th of June regarding which of our two focus areas uh gives you the most energy to contribute to.

00:04:43

Rebecca Veldon: So either consequential ROI or agent wrangling. Um so let me see.

Ryan Lunka: cross.

Rebecca Veldon: We had Everett,

Dylan Valade: I don't

Rebecca Veldon: Jess,

Dylan Valade: know.

Rebecca Veldon: and Ryan all vote for consequential ROI.

Dylan Valade: I'm sorry. I was sorry, Rebecca.

Rebecca Veldon: So,

Dylan Valade: I was reading this is actually looking really great. Um, so I'm sorry. What was the voting for the consequential

Rebecca Veldon: uh, so basically what people would have more energy for. So, I'm posting the question into the chat so people can have a read.

Dylan Valade: Oh, got it. Thank you.

Rebecca Veldon: So um what is people's preferences

Dylan Valade: Certainly ROI for me governance is not something that gives me

Rebecca Veldon: I feel like a lot of people in this group specifically it's consequential

Dylan Valade: energy.

Rebecca Veldon: ROI. So, what do I want to do with that? Because I feel like that's the uh the choice of the

Ryan Lunka: Yeah. And incidentally,

Rebecca Veldon: two.

Ryan Lunka: Tim and I have a conversation today or tomorrow, I forget when, somewhere on the calendar, to be pushing for the uh governance thing anyway because I have to be working on that for some other work anyway.

00:06:13

Ryan Lunka: Um, so that'll get moved on as a secondary priority, but I agree that the ROI conversation is a more existential one.

Dylan Valade: Okay.

Ryan Lunka: I think I think Jennifer brought that up last time or maybe Jessica, I forget. Sorry.

Jennifer Wright: Jessica's and Jennifer's perpetually mistake.

Ryan Lunka: Too many chase.

Jessica Dvoretz: I think it was me because what one that I've that I am seeing out

Ryan Lunka: Okay.

Jessica Dvoretz: in the world is just in the last six weeks this idea of like tokconomics has exploded and this idea you know first everyone is investing in AI pilots because they were supposed to and then wow the bills came in and the pilots aren't necessarily delivering the way that they thought they should and then whoa even Walmart pulled back so if Walmart pulled back what does that mean for everybody else and you know how do you what what is the right way to invest in AI to drive ROI like you know um uh like how do you build a strategic AI roadmap put the right pieces in place um so that you can get the in my mind there's three things that can the accuracy the consistency and the financial um effectiveness that you know it promises

00:07:31

Rebecca Veldon: Okay.

Dylan Valade: Are we looking at it from the perspective of a software vendor or of a enduser consumer of these services?

Rebecca Veldon: Ooh.

Jessica Dvoretz: Uh there's probably both in my mind it was the end user so that it's

Dylan Valade: Okay.

Jessica Dvoretz: useful to the vend as vendors.

Dylan Valade: Cut

Jessica Dvoretz: Um we I think we are building the case for how and what you know what how to invest in a smart way. Hopefully in a way that supports all of

Dylan Valade: it. Be

Rebecca Veldon: Yeah.

Ryan Lunka: Dylan,

Dylan Valade: quiet.

Jessica Dvoretz: us.

Ryan Lunka: I think the way you asked that question is kind of the crux of the problem. Uh because the answer is probably actually both.

Rebecca Veldon: Mhm.

Ryan Lunka: And it's in my opinion mistake number one is the whole framing for the problem you're trying to solve is often wrong and often what's the return on using AI or what's the return on implementing giving all of our developers cloud code or what's the return on building an agent and that's already starting with the wrong problem set to then align a value outcome too.

00:08:39

Dylan Valade: And so what would be the right problem step? What are how would you reframe that?

Ryan Lunka: That's the That's the million dollar question, isn't it?

Dylan Valade: Jessica, what are you thinking is a a good way to approach this ROI, this decisioning?

Jessica Dvoretz: So EMTT had a lot of ideas. So I'm feeling like I'm a little bit at a loss without EMTT. But um you know in my mind it's like trying to look at the p the perspectives of the seauite. So there is like the CEO like there's a CEO probably COO perspective the CTO perspective and the CFO perspective. Um and like uh kind of how they're seeing it. I mean because at least what we're saying I I work at a a small a startup ISV but you know we've got to sell um the CTO and the business and it seems like they are coming from very different places in terms of what they understand about a uh what AI means to them. Um and um it seems like the CFO is just entering the conversation and like throwing on the brakes um in some cases.

00:10:02

Jessica Dvoretz: And so um now you guys are so I've just I'll confess I started my career in strategy consulting. So like I'm putting on my Mackenzie hat here. But um uh kind of when you think about strategic planning kind of what are those key what what are the key people in the seauite who make that three to five year road map and how do we like help them bring them together that was me I think that Everett um and Jennifer and Rebecca keep me honest um Everett kind of jumped a bit more in and he's I think he's right into um finan into kind of how do we show the ROI, right? Because what moves technology investments is business impact. So, how do we show how do we help people understand the

Dylan Valade: Jesus.

Jessica Dvoretz: ROI on some of the uh like call it foundational steps that will ultimately make those like point agents and solutions successful.

Jennifer Wright: Yeah, I think like last time we were talking about it was almost this idea of like how do you the person who is proposing it put together a like ROI based like financial case study?

00:11:22

Jennifer Wright: Why is that different than the case study or proposal you put together two years ago? But then also on like the more of the CFO side of things which is I think I just remember asking the question do we have any friendly CFOs uh to to the or sorry not just friendly in general. Um uh how do you help understand you know what the financial impact is of some of these because your your old measures or your old way of saying hm maybe this you know it it's a little bit different so how to think about ROI. So like from both of the both of the stakeholder perspectives, the leader of it, but then also the the budget approver side of

Jessica Dvoretz: And I like the idea what you I mean that you kind of were getting at that as one deliverable it could for the alliance it could be

Jennifer Wright: things.

Jessica Dvoretz: like how to put together an ROI based

Jennifer Wright: Yeah. If I if I if that was an option on the Slack one, I'd be like, "Yes, that's the thing that gives me energy."

00:12:17

Jennifer Wright: Ryan

Dylan Valade: Ryan.

Ryan Lunka: Um, when you're thinking about the R, how critical is it that the R is a financial R? And I'm asking the question because I've been I've been struggling with this myself. I feel like, and this actually isn't even really an AI thing. I used always struggled with this, but it often times gets you kind of tie yourself in knots trying to like work backwards to math that relates to dollars. And sometimes you're so far away from the actual dollars that like there's so many assumptions built into how the dollars actually relate to the thing, it's not it's almost not usable. It's almost like b*****. And so it's it's

sometimes it's closer and you can talk a cleaner a cleaner financial ROI, but I'm wondering if a financial R is a

Jennifer Wright: Yeah.

Ryan Lunka: necessity to success. Obviously, you know, it's ideal to be able to tie it back to financial outcomes, but as long as the outcomes are observable in a meaningful way to the business, is that good enough?

Jennifer Wright: But if it's like visible to the org in general, there has they're like down the rabbit hole probably has a financial impact.

00:13:31

Jennifer Wright: No.

Ryan Lunka: Yes, but it so like I don't know what if you increase uh customer

Dylan Valade: Yes.

Ryan Lunka: satisfaction by some percentage like what does that mean in terms of dollars?

Dylan Valade: Oops.

Ryan Lunka: It's like yeah, you could like draw lines to a financial outcome,

Jennifer Wright: Yeah.

Ryan Lunka: but there's a lot of assumptions built into that and like there's a bunch of other dependencies there that impact the actual financial outcome

Jennifer Wright: Yeah.

Ryan Lunka: and you may have a huge increase in customer success. you you lost money like so it's disconnected and I feel like that that becomes a friction point at

Jennifer Wright: So maybe it's framing it less ROI like hard financial ROI and more like business case.

Ryan Lunka: least

Jennifer Wright: What is the value to the business as opposed to just the straight financial value to the

Dylan Valade: thousand.

Jennifer Wright: business?

Ryan Lunka: that's what I'm asking thinking about asking the question about but

Jennifer Wright: Yeah.

Sezin Cagil: I think the productivity part of the AI makes it even more

Ryan Lunka: Oops.

Sezin Cagil: difficult, right?

00:14:29

Sezin Cagil: because you know there there are there's a lot of productivity improvements or support from

Dylan Valade: Yes.

Sezin Cagil: AI that is almost impossible to put an ROI around unless you can actually decrease the amount of people that you have in the teams which is not necessarily a positive spin on the technology either. I find it as a double-edged sword.

Jessica Dvoretz: So we 100% we had kind of talked about avoiding that conversation like avoiding the part that says if you make everyone 20% more productive um is you know is it worth a 20% investment to make everyone double productive? Um, and instead I mean last week we were talking about driving to a financial ROI um to like how do you get this through the boardroom? I mean if your customers are less happy but if your customers are happier but you're losing money is that something the CFO funds

Dylan Valade: give you I've got a couple thoughts here and and what's keeping me so busy right now is is handling this conversation uh in between private equity investors, the management team running a company and the different service providers helping make all these dreams come true.

00:15:52

Dylan Valade: And the approach that we take is use case driven investment. So you're basically buying almost like three months at a time an investment in these technologies and the workflows and the financial ROI is the tool like that's what allows all of that suite to get behind an idea together. If there isn't an obvious path to their equity being more valuable as the investor group and as the primary options holders,

Ryan Lunka: Hello.

Dylan Valade: they they won't get behind somebody and then there's going to be some work done behind the scenes to make the project fail. So by seeing that everybody's going to win, there's an incentive for everybody to support one group getting the investment and the focus, you can actually get something big done. If everybody's going at the same time in parallel, nobody ever really reaches a meaningful finish line. So that what we really want to do is focus the leadership around one or two ideas at a time. At least that's what we're finding is working. And then with that, they can count that yes, net promoter score, depending on the company, can be a way to avoid churn.

00:17:03

Dylan Valade: So, if you've got a company that's looking to exit in the next two years, the last thing they want to do is show up to a data room with falling revenue or customer count. So, in for them, just holding on to the contracts that they have,

Ryan Lunka: Yes.

Dylan Valade: secures ARR, like annual recurring revenue, which is a multiplier for exit. Like there's a there's a bunch of different ways to frame these metrics if you can really control them that is different depending on how the company is structured and what their their plans are. Is it a family-owned business and they're going to hold this thing for generations? Is it really like this is the second time it's been investorbacked and they're ready to sell it as soon as they possibly can? So there might be an initial element which is understand this business and its value chain. If you understand that then you can see we're adding AI and automation would actually accelerate their value or solve the problems they're trying to solve. Then you don't have to say we're cutting heads but you are more efficient.

00:18:06

Dylan Valade: That's a choice. We're not recommending it because last thing you want to do is brain drain. What you really want is better decisioning. And if you can take the load off of people to just do the minimum to keep the business running, then they can start using their brain again, which is what they want and what you want. And we're already seeing now people cut a bunch of heads. It's not helping. That's not I don't think a recipe for success and certainly not culturally. So I think we should be embracing that you're not planning to use this to reduce headcount. You're planning to grow business value and framing it that way brings a CFO right to the table on day one and they do understand value. I see that the IT teams are the ones that are cutting cost because they work against a cost center. But a CFO is looking to build value in the business. And if you can frame it as a business value multiplier, it's you're already halfway there because most IT projects don't come in really with a strong business case.

00:19:03

Dylan Valade: They come in with the we've reduced complexity, it's more efficient now, and everyone's like, "Yeah, blah, blah, blah." We've heard that forever from it, and it's never gotten cheaper. It's never gotten simpler. It's just been the opposite. So coming in from a different angle, I think, is helpful.

Tim Fernihough: Hey guys, nice to meet all of you. I know I'm new,

Dylan Valade: them.

Tim Fernihough: so I apologize that I don't know every conversation track that has happened before this, but um I if if you don't know who I am, I work with Jen and Everett from Orium. Um I am the the IT leader. Uh,

Dylan Valade: Great.

Tim Fernihough: so I of course Ryan and I have some stuff in common regarding the governance aspect, but one thing that sort of jumped out to me here, like I'm looking at the two focus areas and we're focusing on the ROI right now. And I mean, we're lucky that of course Jason is a very like, you know, frontier AI minded CEO. So, you know, he's the one that came to me and said, "We need to use these tools." Um,

00:19:59

Tim Fernihough: and of course he fights that finance battle on my behalf in a way. Um, but I find the the statement made about like the return on investment. Um, Dylan, you made a comment about cutting heads isn't going to help, let's find a way to add business value. And I think about the way we're looking at productivity. So colloally without I won't talk about measurement to begin but we have this internal statement of 1 plus 1 equals 3 with this perspective that you take a team member and you give them the right tool and they're going to produce way more than they could have otherwise.

Dylan Valade: Thank

Tim Fernihough: Um and measuring that because I think money

Dylan Valade: you.

Tim Fernihough: and productivity and happiness and lack of employee churn and all of those things are different measurements that are valuable in this context. Um, and depending on the tools you're using and the tiers that you're on, your ability to measure that and such as such be able to have like a conversation in the boardroom or in my case say directly to the CEO or the board is interesting and not consistent.

00:21:10

Tim Fernihough: Like to put into perspective, you know, we used to be on the cloud API plan when we first started adopting it. Analytics are great.

Dylan Valade: Oops.

Tim Fernihough: I could have told you way more than I could today. Um, and I'm sure that's Anthropic's way of trying to convince you to stay on their higher price tier. But, um, when we had spent a year with like 30 developers testing things out, I had a ton of analytics and then it was like, okay, we made the decision to standardize on this. Um, but it's costing me 10 grand a month just for those 30 people.

Dylan Valade: It's

Tim Fernihough: I can give everybody client and 80 people for the same price can have that productivity increase. But I lost analytics. So, you know, I have some, but not the same granularity I once had. And then, you know, anthropic support will only talk to me when they think I'm about to buy enterprise. So, you know, I have to kind of suggest that I'm here to have that conversation.

00:21:56

Tim Fernihough: But, um, analytics analytics will get better, you know, like that's on the pipeline. But, my my perspective anyways, like Jen is one of the two people, for example, that comes to me and says, Tim, we need to talk about what's our monthly COGS cost, right? And cloud code and AI tools is a big piece of that. Um, but I think that there's more measurement along with that. It's like, okay, what are we spending? Sure. But how are we measuring that productivity increase of our team? Now, we're a software development company, so of course productivity for us is how much faster did you get through the the task? Um, how much under budget are we on, you know, the project that we're we're working on? And I'm seeing those numbers pop up in various places, but not like in a consistent way. Um so my thought would be building a framework around what is the what is the thing that you can measure within your business and in our case I don't think it's just lines of code because that by itself is not helpful um you know in fact more lines of code means more things for a human not to read which introduces potential quality concerns for us and Ryan I'll share more with you about that in our next session but um I'd be suggesting that it's not just the money um like identify the thing that defines your business is or your well for me the customer is my team,

00:23:16

Tim Fernihough: right? The the team members that use the tool. Um, identify what does productivity increase or improvement or happiness or whatever mean for them and then put that in context with the money because um, you know, I I'm still trying to figure out what is the average amount per month that I should be attributing to each team member. Yeah, it's \$100 a month for their seat, but they're over just 500 bucks. what's that \$600 a month doing? Because it's definitely doing more. Um, like I know because I'm seeing the sentiment.

Dylan Valade: Yes.

Tim Fernihough: I'm seeing, you know, the people say things, but I would struggle to sit in a room and say, "All right, Jen was 30% more productive for 600 bucks." Um, and part of that is not having the framework fully defined. Part of that is not having necessarily consistent analytics across all the tools. I want to show the value. I know the value is there, but closing that gap is is something I would say is important for ensuring that you're you're showing the ROI with a measurement that makes sense in context.

00:24:17

Tim Fernihough: Anyways, thank you for

Ryan Lunka: Yeah, I think Tim,

Tim Fernihough: listening.

Ryan Lunka: you're you're kind of nodding to the tension I'm suggesting a little bit, which is that there are tangible benefits that don't have a direct numerical correlary or a direct financial correlary even if like yeah, you could eventually like kind of draw the lines to the the P&L, everything eventually ends up there, right? Um, I like I wonder, you know, if your CFO comes and says, "We spent \$20,000 on cloud code this month. What do we get from it?" I bet it doesn't like great if you can give them a financial outcome. But like if you were like, well, you know, here's like some observable evidence

that our developers are producing uh more high quality output or our team has taken on these these 12 new innovation

Tim Fernihough: Caller higher.

Ryan Lunka: projects that we never thought we'd be able to take on before, right? like there's there's like more um narrative forms of return that I think would satisfy a CFO in many cases.

Dylan Valade: Stop

Ryan Lunka: Like some of we're going to be hard asses about numbers.

00:25:14

Dylan Valade: that.

Ryan Lunka: I get that. Like there's there's there's room here that it's not just it has to be financial. Even if financial is ideally part of the conversation if you're able to get

Tim Fernihough: I yeah I mean at the end of the day I think it's like great we have no churn and uh you know we finish these things

Ryan Lunka: there

Tim Fernihough: so much faster but we're bleeding money from anthropic like I mean there there's a there's a line in the sand somewhere um and like I have no idealistic concern with relating it to money. I just think that it starts without the money and then you have to relate it to the money because even if it you've got like a a fair-minded CFO, you got to you got to make progress. Um, right. And like, you know, Jason is a great example of someone who's like, I know there's a bit of like a learning curve and we're going to have to make an investment here and then have the adoption kick in. And we took that leap and here we are and like we're seeing the fruits of that labor.

00:26:13

Tim Fernihough: Now the better thing to do is measure it and then you know the board has not come directly to me yet and say please show me this right like I mean the narrative at the board table um is a positive one um but I feel the time will come when it's please show me more numbers and I I want to be prepared

Jessica Dvoretz: I'm in the numbers camp so I'll just like own it. You know I think that um if we think as the membership of mock alliance is is a combination of SIS and ISBs. So all of us are selling into um operating companies um where the CFOs are um or the organizations you know tech is not the core of what they do. Tech is an enabler. Um, tech is often a cross center, right? So, you know, one of the battles the CTOs are fighting as I see it is very small amount of money goes to CTO's to solve CTO problems. The money goes either to cutting heads, which I don't think we really want to talk about, um, or driving revenue, right?

00:27:23

Jessica Dvoretz: like and I sit on the inventory side, but like typically Mart market marketing gets the most investment because it's the easiest for them to show the return. Um, and I think like where there's a huge opportunity to show the organization that you can understand how to get a similar return outside of Martekch where you can actually like count customers acquired and like conversion metrics. Um, and that would be fundamentally helpful to all the membership of the alliance given who we are all ultimately selling to. So, I know it's crass. Like, I agree with you, Ryan, that there are a ton of benefits and um you know, we want to drive employee satisfaction and all those things. Um but I think the real opportunity number one for us is to help show the dollar signs. But

Sezin Cagil: But that doesn't also doesn't it also mean that if we can show where the dollar isn't we can in a way tell what AI could be used more beneficially and more efficiently if

Dylan Valade: What do you mean by that?

Sezin Cagil: it you know um it was Tim's point I think you know

00:28:35

Dylan Valade: Says

Sezin Cagil: the AI is great but it is not necessarily the right tool for everything if you can start to drill down what it really good. Currently, it is in its infancy, right? When you think about the technology, it just started. What are the things that they can get the return on investment with the current um skills AI has that might bring us closer to the problem that Jessica is talking about? And I sit on the other side of it trying to be for the money to implement anything. It is not any easy discussion.

Dylan Valade: There's

Tim Fernihough: I mean, I'm I'm not a finance guy. Um,

Dylan Valade: um

Tim Fernihough: but like, you know, I'm I'm a human who has a mortgage and, you know, is a consumer in so many different ways. So, you know, I think about like when I spend money, what am I getting for that money? What is the thing that I can measure, right? So, like I before Orium, I ran my own business in a much smaller scale, but you know, if I'm going to make an investment of 10 grand a month, um I'm thinking how do I measure that that 10 grand was worth it?

00:29:53

Tim Fernihough: And um right now I'm not being asked for the numbers in the way I might even demand of myself, right? Like there's enough like momentum around, okay, like we know this is working. We're seeing projects delivered faster. Um, you know, and I'm not in every conversation. Maybe there are measurements happening that just don't happen from the IT side because I'm the guy that can see the little bit of analytics and what the spend is and who went over their limit this month and all of that. But, um, I think to me, my perspective is it doesn't matter how great it is if I if the company can't afford it or if the company can't justify the money that results in that improvement. So, you know, I see it on both sides where um if I can't tell a good story, I'm expecting to be told cut it right now. I mean, we went through a pandemic. We we went through Trump

tariffs. You know, it's not the first time I've had to like have these uh very difficult conversations around what tool can I not can I live without right now because I I have to make that difficult choice.

00:30:56

Tim Fernihough: And the ones I got to keep were the ones that I were able to better justify their existence. Um, and do I think AI is going to get cut? No. But I have to tell a better story. Um, and I I used to be a developer. I care very much about the developer experience. I care very much the team members have the right tool to do the job, but I have to be able to justify the cost of it. I have to be able to say they can do more projects or they can do the same projects in half the time or, you know, how are they driving that other value? So I think Jessica comes back like the dollars need to be measured in a way that you know the board and the CFO can hear and say cool I understand why this investment makes sense but then there's that layer underneath where um how does it relate to like a measurement that the business cares about other than the dollars you know because at the end of the day it comes back to dollars you know like if I give people these tools and now they can get through projects faster we can take on more customers we uh we can drive more revenue.

00:31:57

Tim Fernihough: That is a very important measurement that matters in the boardroom. But it's powered by non dollar measurements that I think need to be focused on more. Um, but at the end of the day, it's all empowered. Like it great. Like if I if everybody's happy and we we drive all these things, but we're losing 20 grand a month, that's not good. Anyways, sorry, just thinking out loud.

Dylan Valade: All right.

Jessica Dvoretz: Um, and I guess I would just throw out there that, you know, um, we're talking a lot about kind of just bec because of Tim's experience, which is very

useful, kind of AI and coding and AI and software development, but what most of us are actually the AI applications most of us are selling actually aren't developer tools um their business tools um whether those be can like consulting services like implementations of those tools but we're talking about um LLM enablement AI point solutions you know for personalization inventory kind of demand planning and allocation tools um uh kind of enabling a commerce I don't know I think different people are playing in different places.

00:33:14

Jessica Dvoretz: Um, but I think we should also try to make sure we combine that perspective, right? Um, you know, because a lot of us work in companies with developers, we're very focused on cloud code and kind of AI development tools, but what um the alliance um is selling are a lot of business solutions. I sound so crass on this call.

Tim Fernihough: Sorry.

Dylan Valade: I You're not the We're in

Tim Fernihough: All right.

Jessica Dvoretz: I really New York is the voice of Wall Street being like,

Ryan Lunka: No, not at all.

Tim Fernihough: Dominic.

Ryan Lunka: Not at all.

Dylan Valade: the

Jessica Dvoretz: "But where are the

Ryan Lunka: I So,

Dylan Valade: the

Ryan Lunka: and Jessica, I I want to be clear.

Jessica Dvoretz: dollars?

Ryan Lunka: I don't disagree with you at all. I'm I wrestling with the tension myself on how to handle this. What's coming to mind for me listening to everybody talk is I

wonder if we could actually borrow from the sort of um it's not a maturity model but like the the the other group did with defining an agent because like there are different layers of how you can define return starting from just trust me at the bottom to here's a story that is purely narrative to here's a story attached to a numerical outcome that's measurable like customer satisfaction or NPS or something like that to here is all of that

00:34:27

Ryan Lunka: tied to a financial outcome that will actually show up on the P&L and you can kind of like build up the story or build down the story where depending on where your starting point is but like there is like that comprehensive spectrum of what what does the story actually entail which ideally includes all of them and I wonder if there's a way to guide people through how to get there. It's a lot easier for somebody to just tell the story, right? I did X a lot faster or a lot easier because I'm using AI. It's a lot harder to tie that to the P&L. So, how do you help somebody get through that muck to being able to articulate the full thing? Um, I don't know. That's a helpful construct, but in my head that's making sense.

Dylan Valade: Well, maybe zoom out for a minute. Jessica, I do appreciate that you're bringing really the business voice into what is generally a very IT technologyheavy conversation with the Mach Alliance.

Ryan Lunka: Okay.

Dylan Valade: And one area that the alliance succeeds in is bringing business leaders to a better way of architecting solutions.

00:35:34

Ryan Lunka: Uhoh.

Dylan Valade: And that is why we've been successful as a group for the last eight years or so.

Ryan Lunka: Oops.

Dylan Valade: I do fear that we're getting sucked into the wormhole of cool technology and then trying to advocate for cool technology as opposed to trying to advocate for good business outcomes. And close to Wall Street or not, like if you don't have revenue, you can't do anything. And the revenue needs to be healthy with stable earnings, otherwise you're not going to be around for long. And that's the um I guess when we've got too much investment on probably the vendor side from the Mach Alliance,

Ryan Lunka: Best

Dylan Valade: you just got free funny money and then you can make a lot of bad decisions fast and last as long as you can. I don't want to support that work. I would like us to be thinking about I think those end users just like the M Lions focus is and what do they need to adopt these things?

Ryan Lunka: stop.

Dylan Valade: And so if I look at the charter we put together the proposed artifacts for agentic adoption was a framework for how to do it at enterprise enterprise agent operating model.

00:36:46

Dylan Valade: So for me both those two enterprise that like I think you've got individual productivity tools which is like cloud chat those types of things even cloud code depending on how you use it and then enterprise level means that you do have a framework in place to layer data access and you have somebody granting access. You've got preferably workflows then that span multiple individuals, teams maybe even organizationwide. Th those are problems that aren't easy to solve and if you haven't done it before, nearly impossible to do well the first time and fast enough. So like if we can show how you would move beyond personal productivity to organizational workflows, now you've got all the classic IT problems and data protection and access controls like just all of that means you can you can build on what you've already been successful in in managing technology services and you're going to do the same thing here. And then it doesn't really matter to me what the tool is what frontier models

you're using is that kind of Ryan what you're saying at the beginning this vessel concept that abstraction layer is really

00:37:56

Ryan Lunka: Sorry.

Dylan Valade: important if you really want to be able to manage this thing across many individuals and start thinking in terms of teams using agentic workflows like that that's a part of this that I I do keep hearing now more and more that that people are coming with the idea of individual productivity and thinking that is going to be something that scales and I'm seeing that that's

Ryan Lunka: He's

Dylan Valade: not easy to measure and the winds are a few individuals and the rest of the

Ryan Lunka: guessing.

Dylan Valade: group is kind of just treading water. They're really not being infinitely more productive and if anything they're just burning through those tokens. So then what what would that look like though when you started making workflows agentic when you start and it doesn't even have to be AI agent like this is mostly just classic like automation flows uh and that that's then going

Ryan Lunka: that

Dylan Valade: to require more data more measurement of I guess productivity ins and outs of each step in a

Ryan Lunka: talk.

Dylan Valade: process and these should be business processes more in my mind what happens in a pricing flow, what happens in an inventory management decision, what happens in a new product release investment.

00:39:18

Dylan Valade: Those are the types of things that are possible now. And I think if we overindex on the IT side of it and the coding side of it, we're going to miss a lot of people and we're probably going to be too narrow in how we look at this. But I would I think kind of summarize the um in the ROI part I I do think that we should be focusing on business value as the ROI and it's a combination of all the types of metrics we've talked about and the governance and the agent wrangling is absolutely required. how we think about that or describe it almost seems a little bit unique to the company more than the ROI part does because you got to their existing infrastructure to deal with like whoever they're using for access controls and for their data platforms and um their own sovereign data rules like all of that looks it's already been solved by them I would hope and we're just I think putting an AI layer on But being able to tell the story in financial terms that do pass the initial test that a CFO can look at it or a controller or even a savvy business team lead and uh and it stands up to some pressure would be helpful.

00:40:41

Dylan Valade: So perhaps it's examples like we have two or three example use cases that are probably in our case more useful to a retail type commerce.

Ryan Lunka: Okay.

Dylan Valade: I don't know, could be airlines, could be a brand, um, Doc Martens, whatever that would be.

Ryan Lunka: Yeah.

Dylan Valade: But I think maybe that that would be a good place to anchor. And then we can show end to end. Here's how you would make an investment thesis in this. This is how you would build up a spreadsheet that explains some simple financial modeling. And then once you're running it, these are the things you would want in place. Thinking enterprise. This is not individuals at their own computer. This is enterprise. What

workflows I guess would be most important to a an enterprise brand enduserfacing customer? Or maybe that's part of do you want B2B, do you want B to C, or one of

Jessica Dvoretz: Do you I I hear I like that idea.

Dylan Valade: each?

Jessica Dvoretz: I think one of the things that I struggle with a little bit is when you get into the dollars, you move directly to use to point to use cases, right?

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Jessica Dvoretz: and use cases it when I talk to people about use cases then they tend to kind of like focus on the point solution for that use case but I think a lot of um the and Ryan this puts to the types of things you're working on but like success with AI implementation is a combination of point agents and point solutions and investments in the for lack of a better word infra right like some like fundamental investments.

Dylan Valade: Yeah.

Jessica Dvoretz: That might be the right better word. Um enablers so that these point solutions become easier,

Dylan Valade: Mhm.

Jessica Dvoretz: faster, cheaper,

Ryan Lunka: Oops.

Jessica Dvoretz: monitorable um better and um so it so I guess in my mind the easiest thing to make a case for is the point solution and we should absolutely do that. But how do we kind of talk about the ROI in um almost the components of that composable stack? Um because if we like think about the agent ecosystem, you know, you're going to need to make a combination of investments if you're not going to be siloed, right?

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Jessica Dvoretz: So you've got a world where you can just be siloed and you can think about every agentic every point solution and

Dylan Valade: What do you

Jessica Dvoretz: your inventory planning team is going to go off and buy one set of agents and your marketing

Dylan Valade: think?

Jessica Dvoretz: department's going to buy another set of solutions and then I think that's how you run rapidly into your concern what you're working on Ryan which is you've got these like stack of agents that each team might think is successful but maybe they're overspending maybe they're pulling maybe they're each using their source system so they're getting different answers like I there a number of challenge maybe nobody can govern it you don't know who has access to what and so in order to actually get the true b the full benefit of point solutions you also need to and how do we tell that story because the clients who invest in the fundamentals are ultimately going to get the most out of the point solutions especially because it's getting cheaper and cheaper to build an agent right so ultimately this thing that was like big and like value creating agent building.

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Jessica Dvoretz: Like I'm pretty sure my 17-year-old could probably build an agent if you focused um today. I wish we focus. Um and um so what are we really telling organizations to do to get the right ROI? So to me, how do we show like I it's really valuable to agent to um alliance members who are selling point solutions like how do you get the value out of that point solution but also I think for SI and some of us playing in

Ryan Lunka: It's available.

Jessica Dvoretz: different places in the architecture there's value in like how do you make how do you ultimately optimize your AI investment not from each and I would love Dylan to see how your clients are how you talk to your clients about that because that's definitely something that I see is easy to sell something.

Dylan Valade: It's

Jessica Dvoretz: If I tell you I can like improve your inventory turns, someone will invest. But how do I get you to

Dylan Valade: we starting to draw that reference architecture.

Jessica Dvoretz: fix?

Dylan Valade: Think think like mock alliance in the past where like here was this idea of a reference architecture that was not Salesforce top to bottom.

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Dylan Valade: What did it look like if there were multiple vendors and different services and now we're kind of seeing the

Jessica Dvoretz: Yeah.

Ryan Lunka: s***.

Dylan Valade: same thing. What would be that ideal future state if you had every box in a reference architecture included this AI landscape and that you can say by use case you're going to color and these ones. So like with that you make this kind of constellation of we've added a 20% foundation 50% new workflow that didn't have something to it couple point solutions and then this last piece on top which is call out to

Ryan Lunka: But yeah, I am pregnant.

Dylan Valade: web search LLM or something else where a custom model is trained. Do you have an ability to deploy and train custom models? Yes or no? If you did was the data clean?

Ryan Lunka: This

Dylan Valade: So it was um a little bit was turning around what would be a

Ryan Lunka: is

Dylan Valade: use case you could handle because if you have these huge aspirations but you actually aren't capable of running this thing then we wouldn't start there like that's maybe number three or four.

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Dylan Valade: So a lot of it was sequencing in a way that gets them to the foundation that's required and for

Ryan Lunka: not

Dylan Valade: us a lot of it's snowflake or data bricks somewhere you need to store this data that is not the

Ryan Lunka: Definitely

Dylan Valade: transactional system we don't know how hard your team's going to hit this we don't know how what's going to happen so we want to insulate you which is not a new concept but for a lot of the companies they haven't been thinking like that and it's been the IT

Ryan Lunka: slow.

Dylan Valade: ERP some some team that's got access to the data directly and they're the ones kind of servicing everything. So it's it's almost giving them insulating them from what is normally a BI type of role like the people are more like in an advanced analytics position and that's kind of the enabler to doing all of this work and we can say like yes you this is a question that can be answered. This is a a math problem that can be predicted. So like those are two things that are foundational.

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Dylan Valade: And third, this if you did this, it actually would move the needle need needle on the company. Like if it doesn't check those three, then we're not even going to get started. Even though it was really cool and someone was super excited about it and we've got a free PC, like those don't become as important. Uh but showing that reference architecture of future state, which I think is what the other group might be getting to, then we could say these are things that you're going to want. You're not

going to have all of them on day one, and we're not recommending that you do, but we're recommending that whatever is in service of these use cases should be in your

Ryan Lunka: She came by

Dylan Valade: modern data platform,

Ryan Lunka: watch.

Dylan Valade: enterprise ready. And uh oh, someone's got some background noise. Is that you, Ryan?

Jennifer Wright: Sorry, Ryan.

Dylan Valade: Um then then with that, you're able to force foundational work to be done at the beginning. you're able to force governed data platforms with governed access and that when the agent is built or whatever that AI layer is, it's not an individual's owned account.

00:48:34

Dylan Valade: It is actually owned by the organization. So that the individual moves on, you don't lose this thing. So it's like they're building software like this is creating software but it's not being managed as we would normally manage an application which is a problem. And so like it's just as I think about what we're telling people and how they're responding. Well, it is we don't want to hear about foundational stuff anymore, but we do recognize that this makes sense. So then what's the lightest touch you can do on the foundational work so that we don't spend a bunch of time wasted on governance work? And like no, we don't want to build up a whole new governance framework. we want to embrace the one you already have and then add what you've not completed yet because the team didn't get the funding. So, it's like let's bring some of this new investment in to solve some of those extra steps that weren't completed yet and then show them that you're coloring in all these boxes on this new reference architecture which kind of doesn't exist yet.

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Dylan Valade: And I think that's maybe something that script could

Jessica Dvoretz: I mean, how do we get to ROI from that,

Dylan Valade: deliver.

Jessica Dvoretz: right? like cuz and yeah because I think you get short-term ROI from investing on

Dylan Valade: Yeah.

Jessica Dvoretz: the edges but you get like the true and Ryan I'd love to understand kind of if I know because I know you seem to be working for clients who have like hit this wall at least as you explained last week or two weeks ago. So does that resonate or are are they feeling it in a different way?

Ryan Lunka: I'm not quite sure how to answer that question yet. Um I think yes, they are feeling it and I'm trying to I'm trying to triangulate where they're actually coming from, but the the like we built a bunch of random stuff and now we're trying to figure out why if it's making money or if it's helping or how it's even supposed to come together. Uh and we also anticipate that if we keep down this path, we're going to have 10x the amount of random things.

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Ryan Lunka: And like that's a real problem that's happening because this is this is ungoverned and unmanaged in a lot of organizations. And um I the client that's coming to mind as I'm thinking about this I'm not even sure they're they haven't interfaced to the CFO. Like I don't think that's even a factor in the decision- making. I think oftentimes the why they're doing it to begin with is barely is barely a factor. It's just like it's all so new and experimental that so many people start from a place of I think I can do this and then they do it and then it just gets a snowball from there. Um,

Jessica Dvoretz: What about something that starts with like you know the first stage of AI was experimentation right? people were like individual people were building stuff,

departments were doing pilots some you know what does it look like for AI to move from kind of like experimental to enterprise or something like that um and that's when you start to have you know more governance bureaucracy pick your word um but like as you know I think we are at a moment of time where AI is moving from this cool new thing that everyone's trying you know people are giving giving people cloud licenses and saying go in some companies doing POC's and other I mean different people are doing experimentation differently and you're at a place where depending on which statistic you read anywhere from 70 to 90% of pilots fail

00:52:02

Jessica Dvoretz: um on the pilot side and when you just let people go it might be working for those people but we don't really know if it's working for the organization so what does enterprise AI look like and how do you make the case the the ROI and How do you drive an ROI positive enterprise AI

Jennifer Wright: Yeah,

Jessica Dvoretz: strategy?

Jennifer Wright: you could like from I really like that like from experimentation to like enterprise impact even like it's Yeah, like um that's and it's it's funny because that's a lot of like how we're talking internally ourselves of hey we gave you a bunch of tools tools for the last year and we're like so happy that everyone's you know experimenting but now how do we take that and move that to more of a you know uh impactful or how we how we do it as an or as opposed to how Bob does it and how you know Jane does it type of thing

Ryan Lunka: I like that,

Jessica Dvoretz: And then there are other companies by the way among our clients who didn't do who skipped that experimental stage because they're because they're

00:53:00

Jennifer Wright: that's

Ryan Lunka: too.

Jessica Dvoretz: not experimental but so like AI was in an experimental phase that some companies participated

Jennifer Wright: Hey,

Jessica Dvoretz: and some didn't like but now we're in enterprise impact act which means the cost of not participating is going up and the cost of participating in this like ad hoc way is multiplying. So what does that mean or something like that? Because Dylan, it sounds like if you're talking to private equity portfolio companies in the middle market, they're probably not experimental. Or are they?

Dylan Valade: It it depends exact that some it's individuals uh which I guess is kind of the case

Jennifer Wright: So

Dylan Valade: to any company but some are very experimental and they're getting very far with

Jennifer Wright: spectrum.

Dylan Valade: bible coding or whatever you want to call it but then they're reaching a limit and that's the I think the point where you can flip to enterprise, which is exactly what they're asking us for now. They're like, "Oh, I got so far. I worked on this for two months and look at all this." And really what it is is a super business

00:54:04

Dylan Valade: requirements document. Like essentially what they have built now is the prototype for what what should be built like that a real app developer should lean in and work with their data team to make this thing the way the company works now. Because the one person that really understood the process end to end built the tool that was the gap that they couldn't find in the market and they didn't have themselves

to do their job. And that might be in finance, it might be in sourcing, it might be marketing and then take that tool and level it up with all of the required governance and that structure that was required and and that's I said that part is working really well. people are understanding that they should lean in. And then that person who's already known as the expert inside the business for a business function has all the support from leadership already. They know they're great. They've been there for years. And that makes it really easy for them to say, "Yeah, these guys are right. We do need a better A,

00:55:01

Dylan Valade: B, and C. Those are foundational elements. I can't give you an exact number on the ROI, but you know that if we solve this problem, it's a good thing for the company." And his head nods around. you still need to put a dollar sign on it three-year ROI on this thing is going to be approximately x preferably million and then um we can afford to work on this problem is really that is the focus is the that's probably the most difficult part is to get the focus to finish and that focus needs to have a number that's preferably seven figures or bigger

Jessica Dvoretz: So it seems like experimental might be able to define a few ways, right? Like um uh the one you just laid out kind of like pilots, pilot paralysis or what, you know, pilots that aren't moving into production, whatnot. We could probably define the like experimental era and it had takes a

Dylan Valade: the zombies.

Jessica Dvoretz: few different flavors. Um and then we could talk about kind of enterprise AI as the real unlock of ROI and kind of with any enterprise decision, it requires more investment but has more return.

00:56:19

Jennifer Wright: I think the irony of all this is it comes back to our original number one on the list which was enterprise agentic adoption uh framework and how to move from I think the description is how to move from uh over time from experimentation to controlled production although So that's not as exciting as what we've been we've been talking about, but uh I think we've we've kind of come full circle

Dylan Valade: All right. So then as we wrap up, it sounds like we boomeranged, right? To to support what our plan was originally.

Jennifer Wright: a little bit, but it was a really good conversation on like the ROI side of things and like the financial versus

Dylan Valade: Okay.

Jennifer Wright: non-financial metrics piece of it. I think it's um I think it's a really big like hot topic on it of you know how to how to talk about those

Jessica Dvoretz: But I think maybe just to validate our hour, we want to go with number one with an ROI focused,

Jennifer Wright: pieces.

Jessica Dvoretz: right? So we have kind of unlocked that the key to moving from experimental to the case for enterprise is a financial return on because ultimately that is a trans is an there's there's expense.

00:57:33

Jessica Dvoretz: So um how do we as a part of that road map include this ROI

Jennifer Wright: Yeah, because it's like maturity at at the core of it, right? Experimentation,

Jessica Dvoretz: piece

Jennifer Wright: doing it in pockets, you know, there there's leeway to do that type of thing, but you know, the scaling side of things, there's at the end of the day, eyeballs, whatever those type of eyeballs might be, maybe it's financial or governance or uh whatever it may be, but um yeah.

Jessica Dvoretz: and I think we can go to kind of the CTO when you go to scale there's a CTO O perspective that's governance. There's a CFO perspective.

Jennifer Wright: Yeah.

Jessica Dvoretz: Suddenly this is a line item.

Jennifer Wright: Yeah. Oh, I like that. I like that. It's

Jessica Dvoretz: There's a C there's a COO perspective which is like how to get the operations.

Jennifer Wright: like

Jessica Dvoretz: I mean if we really want to go into it there's a like a CHRO perspective which is like you now have a team of people and you have a team of agents but u which I think is super fascinating but maybe not where we want to go. Day one.

Jennifer Wright: that is that is a huge can of

Jessica Dvoretz: Yeah. So you put that one to the side.

Jennifer Wright: worms.

Jessica Dvoretz: Maybe you focus on the CEO, the COO, the CTO, and the

Jennifer Wright: Yeah.

Jessica Dvoretz: CFO.

Jennifer Wright: Um, I do have to drop just because I'm I'm interviewing someone. I don't know if there's any next steps that we want to talk quickly

Rebecca Veldon: Yeah,

Jennifer Wright: through.

Rebecca Veldon: I feel like if we wanted to, we can talk and bring it into Slack. How do people feel about that

Jennifer Wright: Sure.

Dylan Valade: Yeah, perfect.

Jennifer Wright: Okay. Thanks.

Dylan Valade: All right,

Rebecca Veldon: then?

Dylan Valade: Tim. Nice to meet you.

Jessica Dvoretz: Great everyone.

Ryan Lunka: conversation, I guess.

Tim Fernihough: See you again soon. Thank you.

Transcription ended after 00:59:15

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